

Red Flags of Fraud Schemes

to be considered when conducting data analysis

Red Flags of Billing Schemes

- Vendors with incomplete profiles
- Vendor addresses that are not designated as business addresses
- Duplicate payments
- Round-dollar payments
- Unusually large payments to particular vendors
- Payments made to unapproved vendors
- Unusual debit memos
- Purchases without purchase orders
- Overpayments to vendors
- Unusually short turn-around time for invoices
- Mismatches among invoices, receiving reports, and purchase orders
- Invoices directly below approval limits
- Company purchases shipped to unusual addresses (e.g., raw materials shipped to non-company locations)
- Unusual journal entries to inventory or cost of sales accounts
- Excessive purchases of particular items
- Excessive purchases from particular vendors
- Significant increases in average unit prices of goods
- Unusually high usage of credit cards or purchasing cards by particular employees

Red Flags of Check Tampering Schemes

- Checks issued out of sequence
- Out-of-range checks
- Duplicate check numbers
- Non-payroll checks made out to an employee
- Unusually high number of checks made out to “Cash”
- Questionable payee addresses
- Duplicate payments
- Round-dollar payments
- Payments recorded for zero dollars
- Excessive number of voided checks
- Unusually high number of manual checks
- Unusual debit memo trends, such as excessive debit memos to a particular vendor or by a particular user

- Adjusting entries to cash accounts
- Unusual journal entries to inventory or cost of sales accounts

Red Flags of Payroll Schemes

Ghost Employees

- Multiple employees using the same bank account for direct deposit
- An employee using multiple bank accounts for direct deposit
- Invalid or blank Social Security numbers (SSNs)
- Multiple employees with the same SSN
- Multiple employees with the same home address
- Employees with PO Box addresses
- Employees with more than one address change within a year
- Employees on the payroll register prior to their start date or after their termination date
- Non-salaried employees on the payroll register but not in the timekeeping system
- Employees on the payroll register but not in the employee master file
- Manual payroll checks
- Multiple paychecks issued to an employee within a single pay period
- Employees with no deductions for taxes or benefits
- Bonuses paid during times when bonuses are not typically paid or to employees who are not normally eligible for bonuses
- Employees with no pay increases, or more than two pay increases, within the past year
- Employees with no paid time off, vacation time, or sick leave used

False Salaries and Wages

- Differences between pay rates recorded on the payroll register and those in the employee master file
- Employees with more than one pay increase in the past year
- Employees with abnormally large pay increases
- Inappropriate wage levels given employees' classifications
- Unusually high bonus payments
- Employees with more than the expected number of paychecks for the period (e.g., 58 paychecks in the past year for a company with a weekly payroll)
- Employees receiving unusually large percentages of their pay in overtime
- Bonus payments, by department or employee, that substantially exceed budgeted or prior year amounts
- Hours reported per time card system that differ from those shown on payroll register
- Overtime hours that substantially exceed budgeted or prior year amounts
- Employees with over X hours per pay period
- Unsupported adjustments to gross pay
- Unsupported adjustments to net pay

Commissions Schemes

- Unusually old receivable balances for customers of particular salespeople
- Customer receivable balances that exceed the customers' credit limits
- Unusually high commission amounts in relation to sales
- Salespeople having average sales prices or quantities significantly higher than the average for all salespeople
- Unusually high sales to particular customers given the customers' past purchasing patterns
- Duplicate sales invoices
- Incomplete customer profiles (e.g., those without phone numbers or tax ID numbers)
- Customers that appear in the sales register, but not in the customer master file
- Increases in the number of returns following higher commission periods (or bonus periods)
- Unusually low sales prior to the beginning of higher commission periods (or bonus periods)
- Activity posted to customer accounts that have been dormant
- Unexpected increases in new customer accounts
- Improper separation of duties (e.g., a salesperson is able to create new customer accounts in addition to being able to enter sales orders and adjustments)

Red Flags of Expense Reimbursement Schemes

- Business expenses with dates and times that are inconsistent with employees' work schedules (e.g., business travel with departure on Friday or Saturday and return on Sunday, or expense claims for periods during which employees were on vacation or out sick)
- Expenses submitted long after they were incurred
- Travel claims to exotic locations
- Employee expenses paid to vendors normally associated with personal purchases
- Expenses that are consistently rounded off
- Expenses that are consistently for the same amount
- Expenses submitted with dollar value consistently just below approval/reimbursement limit
- Cash payments for high-dollar expenses
- Mileage claims that are clearly excessive given an employee's business destination
- Expense reimbursement claims with missing descriptions such as dates, times, or purposes of expenses
- Sequentially numbered receipts
- Expense reimbursement levels that differ significantly from those of budgeted and prior year amounts
- Expense reimbursement levels that are out of line with those of other employees in similar positions

Red Flags of Theft of Cash Receipts Schemes

- Unusual entries to cash accounts
- Unusual entries to accounts receivable
- Invoices with partial payments (when partial payments are not the norm)

- Customers with credit balances
- Excessive numbers of credit memos issued by particular users or locations
- Excessive numbers of accounts receivable write-offs made by particular users or locations
- Unusual increase in bad-debt expense
- Unusually high quantity or dollar amount of discounts by particular users or locations
- Debits or credits to unused accounts
- Unusually high number of voided transactions
- Higher-than-average uncollectable accounts
- Employees with lower-than-average sales
- Users with access to both the accounts receivable subledger and the general ledger
- Users who access accounting systems at unusual times and dates

Red Flags of Inventory Schemes

- Significant discrepancies between physical and perpetual inventory records (i.e., shortages or overages)
- Discrepancies between the beginning inventory balance for a period and the ending inventory balance for the prior period
- Inventory shipped without a corresponding sale
- Inventory shipped to an employee address
- Duplicate inventory items
- Inventory price higher than retail price
- Inventory with negative or zero pricing
- Unusual variances from standard pricing
- Inventory with a negative-quantity balance
- Inventory that has been written off as obsolete while also having reorder points
- Shipments with negative receipt quantities
- Unusually high amount of inventory written off or designated as scrap
- Unusually high return or allowance rates
- Unexplained journal entries posted to inventory accounts
- An unusual increase in bad-debt expense (this might indicate that fraudulent sales have been created to account for stolen inventory)
- A disproportionate increase in cost of goods sold in relation to sales

Red Flags of Corruption Schemes

- Commissions substantially in excess of the going rate
- Unusual bonuses or extraordinary payments
- Sizeable cash payments
- Payments to jurisdictions other than the country where services and the underlying contract are performed
- Unorthodox or substantial upfront payments

- Payments made in round-dollar amounts
- Duplicate payments
- A high incidence of invoice payments just below an approval limit
- Obsolete inventory
- Excessive quantities of inventory on hand
- Sequential vendor invoices
- Excessive purchases
- Variances between contract price and invoice price
- Quantities ordered not matching quantities received
- Bids accepted that were submitted after the closing date
- A pattern indicating that the last bid always wins
- A winning bid that is too high when compared to cost estimates, published price lists, similar jobs, or industry averages
- Losing bidders hired as subcontractors
- Large differences in bid prices
- Apparent connections between bidders (e.g., common addresses, personnel, phone numbers)
- Numerous, unusual, or unexplained change orders for a specific contractor approved by the same employee
- Poorly documented change orders
- Pattern of low-bid awards followed by change orders that increase the price or scope of the contract or extend the contract period
- Pattern of change orders just below the upper-level approval limit
- High-level personnel involved in change order approvals, especially for only certain contractors
- Purchase orders or contracts extended by change order rather than re-bidding

Red Flags of Financial Statement Fraud Schemes

Overstatement of Revenue

- Rapid growth or unusual profitability, especially compared to that of other companies in the same industry
- Recurring negative cash flows from operations or an inability to generate cash flows from operations while reporting earnings and earnings growth
- Significant transactions with related parties or special purpose entities not in the ordinary course of business or where those entities are not audited or are audited by another firm
- Significant, unusual, or highly complex transactions, especially those close to period-end that pose difficult substance-over-form questions
- Assets, liabilities, revenues, or expenses based on significant estimates that involve subjective judgments or uncertainties that are difficult to corroborate
- Unusual growth in the number-of-days-sales-in-receivables calculation
- Unusual increase in gross margin or margin in excess of industry peers

- Significant declines in customer demand and increasing business failures in either the industry or overall economy
- A significant volume of sales to entities whose substance and ownership are not known
- An unusual surge in sales by a minority of units within a company or of sales recorded by corporate headquarters

Overstatement of Assets

- Adding to assets while competitors are reducing capital tied up in assets
- Recurring negative cash flows from operations or an inability to generate cash flows from operations while reporting earnings and earnings growth
- Significant declines in customer demand and increasing business failures in either the industry or overall economy
- Assets, liabilities, revenues, or expenses based on significant estimates that involve subjective judgments or uncertainties that are difficult to corroborate
- Unusual increase in gross margin or margin in excess of industry peers
- Unusual growth in the number-of-days-sales-in-receivables calculation
- Unusual growth in the number-of-days-purchases-in-inventory calculation
- Allowances—such as those for bad debt or excess and obsolete inventory—that are shrinking in percentage terms or are otherwise out of line with industry peers
- Unusual change in the relationship between fixed assets and depreciation

Understatement of Expenses

- Rapid growth or unusual profitability, especially compared to that of other companies in the same industry
- Recurring negative cash flows from operations or an inability to generate cash flows from operations while reporting earnings and earnings growth
- Significant transactions with related parties or special purpose entities not in the ordinary course of business or where those entities are not audited or are audited by another firm
- Significant, unusual, or highly complex transactions, especially those close to period-end that pose difficult substance-over-form questions
- Assets, liabilities, revenues, or expenses based on significant estimates that involve subjective judgments or uncertainties that are difficult to corroborate
- Unusual increase in gross margin or margin in excess of industry peers
- Allowances for sales returns, warranty claims, or similar claims that are shrinking in percentage terms or are otherwise out of line with industry peers
- Unusual reduction in the number-of-days-purchases-in-accounts-payable calculation
- A reduction in accounts payable when competitors are stretching out payments to vendors

Understatement of Liabilities

- Liabilities based on significant estimates that involve subjective judgments or uncertainties that are difficult to corroborate
- Recurring negative cash flows from operations or an inability to generate cash flows from operations while reporting earnings and earnings growth
- Unusual increase in gross margin or margin in excess of industry peers
- Allowances for sales returns, warranty claims, or similar claims that are shrinking in percentage terms or are otherwise out of line with industry peers
- Unusual reduction in the number-of-days-purchases-in-accounts-payable calculation
- A reduction in accounts payable when competitors are stretching out payments to vendors

Improper Disclosures

- Significant bank accounts or subsidiary or branch operations in tax-haven jurisdictions for which there appears to be no clear business justification
- Overly complex organizational structure involving unusual legal entities or managerial lines of authority
- Rapid growth or unusual profitability, especially compared to that of other companies in the same industry
- Significant, unusual, or highly complex transactions, especially those close to period-end that pose difficult substance-over-form questions
- Significant related-party transactions not in the ordinary course of business or with related entities not audited or audited by another firm